Goldman Sachs Research

Portfolio Strategy Research
1 July 2026 | 7:55PM EDT

US Macroscope: Decomposing recent Russell 2000 outperformance and the second-half outlook for small caps

- **The Russell 2000 has returned 23% in the first half of 2026 and 41% during the past 12 months, its strongest returns since the COVID rebound.** The small-cap index has generated roughly 2x the S&P 500 return on trailing 6- and 12-month bases. However, this outperformance represents just a modest reversal following nearly 300 percentage points of Russell 2000 underperformance vs. the S&P 500 during the past 15 years.
- **The AI trade has been a major driver of recent small-cap strength.** AI infrastructure stocks have contributed roughly 40% of the YTD return for the Russell 2000. Small caps have also benefited relative to the S&P 500 by avoiding the drag from the Magnificent 7, which returned 0% in H1 2026. However, last week's index reconstitution cut the weight of AI infrastructure stocks in the Russell 2000 from 15% to 7%, including the removal of some of the largest contributors to the index's YTD return.
- **Outside of AI, a healthy economic backdrop and surging healthcare M&A have also been factors behind the recent Russell 2000 strength.** Russell 2000 stocks have outperformed S&P 500 companies in 9 of 11 sectors YTD. Outside of TMT, the largest contributors have been cyclical sectors, including Industrials and Financials. Among industries, Biotechnology has the largest weight in the Russell 2000 relative to the S&P 500 and has contributed 10% of the YTD return.
- **Consensus estimates show the Russell 2000 growing earnings at twice the rate of the S&P 500 this year, but revisions for the two indices have been moving in opposite directions.** Analysts model 48% EPS growth for the Russell 2000 in 2026. This would be the strongest annual growth rate in decades, outside of 2009 and 2021, and twice the 24% EPS growth for the S&P 500. However, analysts have cut Russell 2000 2026 EPS estimates by 9% YTD. Rising valuations have accounted for about half the small-cap return so far in 2026.
- **The combination of elevated valuations and near-trend US economic growth points to low single-digit Russell 2000 returns in the next 12 months.** The biggest upside risk for small-caps is stronger economic or AI capex growth than the market currently prices. On the downside, in addition to disappointing growth, a hawkish Fed would be a particular challenge for small-caps. Nearly 30% of Russell 2000 stocks are unprofitable and 29% of Russell 2000 debt is floating rate.
- **Surging return dispersion within the US equity market signals elevated alpha opportunity, especially among small-caps.** Russell 2000 return dispersion has

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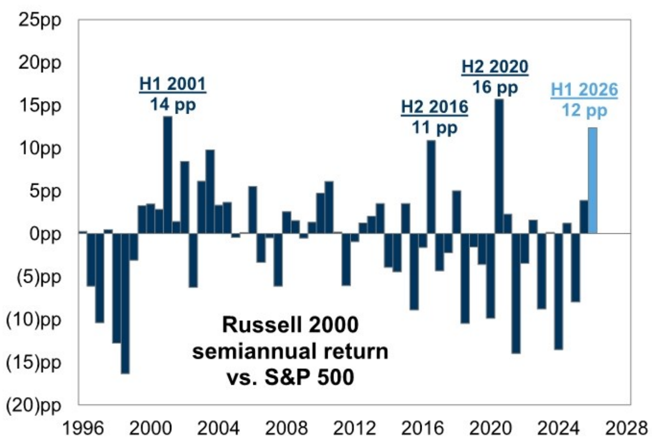
averaged roughly 2x the level of S&P 500 dispersion during the past 30 years, and small-cap dispersion currently registers higher in every sector relative to large-caps.

Why have small-caps performed so well this year?

The Russell 2000 has returned 23% in the first half of 2026, outperforming the S&P 500 by 12 percentage points YTD. This represents one of the strongest semiannual periods of small-cap outperformance during the last 30 years. During the past 12 months, the 18 percentage point excess return of the Russell 2000 vs. the S&P 500 ranks in the 95th percentile since 1995. However, this recent strength reverses only a small portion of the cumulative Russell 2000 underperformance of the past 15 years, during which the S&P 500 has generated nearly twice its total return (680% vs. 375%).

Exhibit 1: The Russell 2000 has outperformed the S&P 500 by 12 pp YTD



Source: Goldman Sachs Global Investment Research

Exhibit 2: The Russell 2000 has recently outperformed the S&P 500 but lagged for most of the past decade

Source: Goldman Sachs Global Investment Research

Going forward, Russell 2000 index outperformance will likely fade in the second half of the year, but the small-cap universe should remain exceptionally fertile ground for alpha generation. Coming into 2026, the combination of an accelerating economy and easing Fed created an ideal backdrop for small-caps. Those macro dynamics appear less favorable in the back half of the year. In addition, the AI trade has been a major source of small-cap outperformance, but that tailwind should also fade following the recent rebalance. Valuations and positioning in the Russell 2000 are also less friendly than they were at the start of the year. Nonetheless, small-caps should continue to generate positive returns during the remainder of 2026, and the opportunity set for stock-pickers should remain very attractive.

Three main factors have driven the recent strength of small-cap equities: The AI trade, a robust economic environment, and the surge in biotech stocks. Russell 2000 stocks have outperformed S&P 500 companies in nearly every sector YTD, with Materials and Utilities the exceptions. The performance differential, and contribution to the Russell 2000 YTD return, has been largest in TMT (the Info Tech and Comm Services sectors). The cyclical Financials and Industrials sectors have also been large contributors, as has Health Care.

Exhibit 3: Russell 2000 sector composition and returns vs. S&P 500

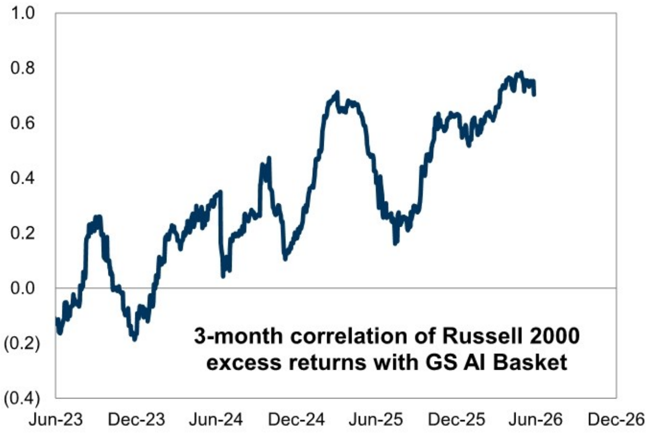
	Index weight			YTD total return			Contribution to R2K YTD return
Sector	**Russell 2000**	**S&P 500**	**Difference**	**Russell 2000**	**S&P 500**	**Difference**	
Info Tech	14 %	37 %	(24)pp	49 %	20 %	29 pp	**28 %**
Industrials	15	9	6	28	20	8	**24**
Health Care	20	9	11	19	3	16	**14**
Financials	19	12	7	16	(1)	17	**13**
Energy	6	3	3	22	20	3	**6**
Cons Discretionary	10	9	0	15	(1)	16	**5**
Real Estate	6	2	4	18	15	3	**5**
Materials	4	2	2	9	12	(3)	**2**
Comm Services	2	10	(7)	38	1	37	**2**
Cons Staples	2	5	(3)	9	8	1	**1**
Utilities	3	2	0	0	8	(7)	**1**
Total index	**100 %**	**100 %**	**0 pp**	**23 %**	**10 %**	**12 pp**	**100 %**

Source: FactSet, Goldman Sachs Global Investment Research

One major driver of recent small-cap strength has been the AI trade, with AI infrastructure stocks contributing nearly 40% of the Russell 2000 YTD return. Prior to the recent rebalance, the largest constituents of the Russell 2000 were AI infrastructure stocks (Exhibit 8). In total, semiconductors and constituents of various GS AI infrastructure baskets, including electrical equipment, construction stocks, and others, accounted for 15% of Russell 2000 index weight and 37% of the index return at the halfway point of 2026.

Reflecting the impact of the AI trade, the Russell 2000 has been more correlated with the GS AI basket during the last few months than at any other time since the start of the AI boom in 2023. Likewise, a regression decomposition shows that AI has recently outweighed the cyclical economy as the most significant macro driver of Russell 2000 returns, although economic cyclicality remains the most important driver for the small-cap index on an equal-weight basis.

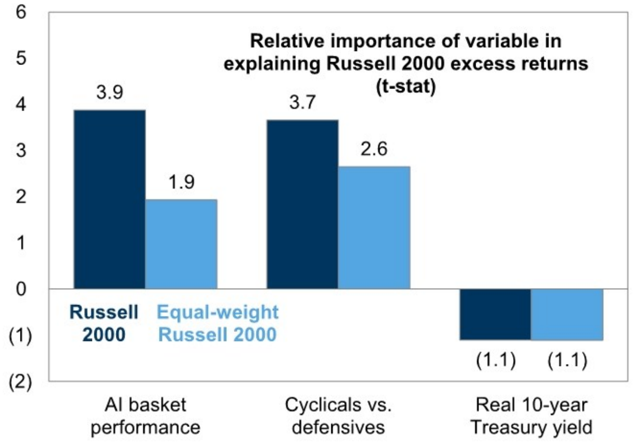
Exhibit 4: The Russell 2000 has become increasingly correlated with the AI trade
Correlation of daily returns vs. the equal-weight S&P 500; GS AI Basket = GSTMTAIP



GSTMTAIP basket developed by GBM

Source: Goldman Sachs FICC & Equities, Goldman Sachs Global Investment Research

Exhibit 5: Macro drivers of Russell 2000 returns
weekly returns vs. equal-weight S&P 500 during the past 12 months

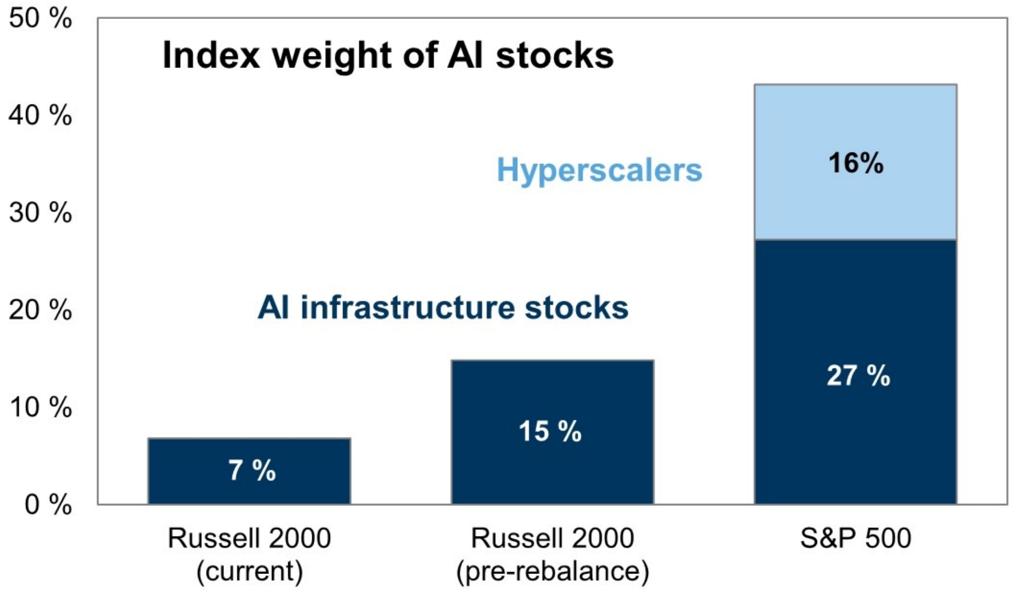


Source: Goldman Sachs Global Investment Research

The Russell 2000 has also benefited from the AI trade relative to the S&P 500 because it has not been affected by the poor recent performance of the largest US tech stocks. The Magnificent 7 returned a collective 0% in H1 2026 vs. 16% for the S&P 493.

However, the small-cap AI tailwind is likely to diminish following the recent index rebalance. The weight of AI infrastructure stocks has declined from 15% prior to last Friday's reconstitution to 7% currently. In addition, we expect revisions to the outlook for AI capex to be less of a catalyst for the AI infrastructure trade this coming earnings season than last quarter.

Exhibit 6: The weight of AI infrastructure stocks in the Russell 2000 has declined following index reconstitution
AI infrastructure stocks include semiconductors and the constituents of various GS AI infrastructure baskets



Source: FactSet, Goldman Sachs Global Investment Research

The new largest stocks in the Russell 2000 include a mix of Info Tech, Industrials, Financials, and Health Care. Prior to the rebalance, the top constituents were primarily members of the Info Tech and Industrials sectors. These former top 10 stocks contributed 16% of the Russell 2000 return in H1 2026. Following reconstitution, HUT is now the largest stock in the index, with a weight of 0.4%, compared with BE previously (1.6%).

Exhibit 7: Current largest Russell 2000 stocks

Current largest stocks in the Russell 2000

Name	Ticker	Sector	Market cap (bn)	Index weight
Hut 8	HUT	Info Tech	$14	0.4 %
Moog Inc.	MOG.A	Industrials	13	0.4
BrightSpring Health Services	BTSG	Health Care	14	0.4
Cytokinetics, Incorporated	CYTK	Health Care	10	0.3
UMB Financial	UMBF	Financials	11	0.3
Argan	AGX	Industrials	11	0.3
Riot Platforms	RIOT	Info Tech	11	0.3
StoneX Group Inc.	SNEX	Financials	11	0.3
Krystal Biotech	KRYS	Health Care	11	0.3
JFrog Ltd.	FROG	Info Tech	11	0.3
Top 10			$116	3.4 %

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 8: Largest Russell 2000 constituents prior to the recent rebalance

Largest stocks in the Russell 2000 prior to rebalance

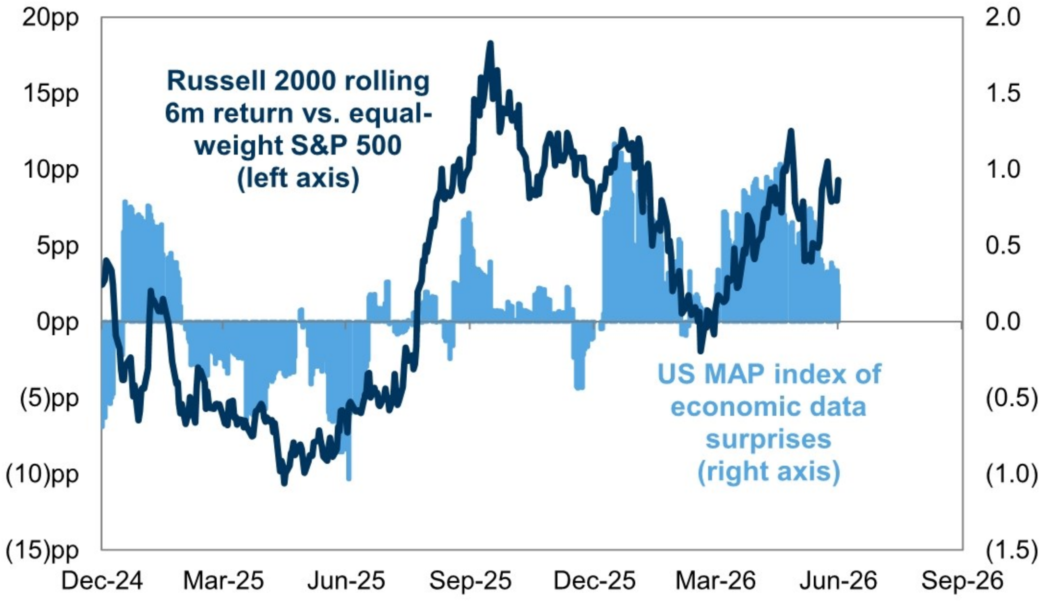
Name	Ticker	Sector	Market cap (bn)	Index weight
Bloom Energy	BE	Industrials	$72	1.6 %
Credo Technology Group	CRDO	Info Tech	44	1.1
Sterling Infrastructure	STRL	Industrials	25	0.7
TTM Technologies	TTMI	Info Tech	20	0.6
Fabrinet	FN	Info Tech	19	0.5
Guardant Health	GH	Health Care	20	0.5
IonQ	IONQ	Info Tech	18	0.5
Coeur Mining	CDE	Materials	17	0.5
Nextpower Inc.	NXT	Industrials	16	0.4
SiTime	SITM	Info Tech	18	0.4
Top 10			$268	6.8 %

Source: FactSet, Goldman Sachs Global Investment Research

The health of the cyclical economy is usually the most important macro driver of small-cap US equities, and resilient economic activity has also contributed to the Russell 2000 strength so far this year. Despite the energy shock this spring, US economic data have generally remained solid, with our economists' US Current Activity

Indicator pointing to real growth in the range of 2.5%-3.0% during the past few months and their MAP index signaling positive economic data surprises.

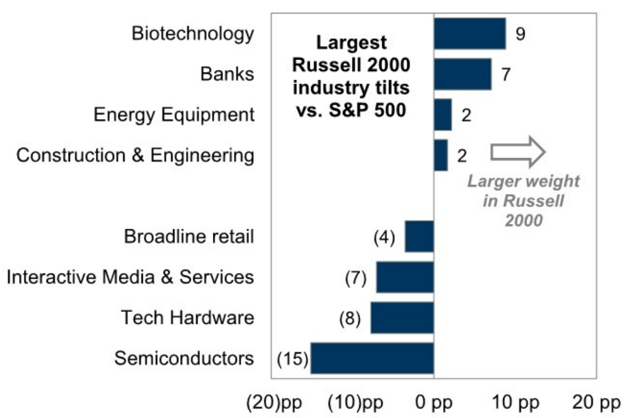
Exhibit 9: US economic data have generally surprised to the upside in recent months, supporting small-caps



Source: Goldman Sachs Global Investment Research

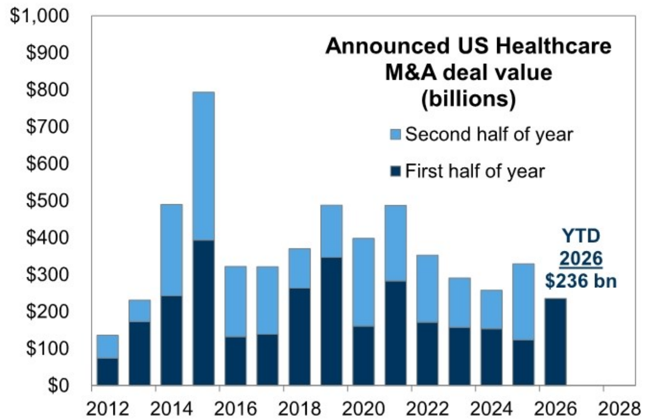
A wave of healthcare M&A and the large index weight of Biotech have also helped lift the Russell 2000 this year. Biotechnology accounts for 11% of Russell 2000 index weight, a 9 percentage point tilt relative to the S&P 500, and has driven roughly 10% of the small-cap index YTD return. One reason for this strength is the ongoing wave of M&A. Announced US healthcare M&A totaled $236 billion in the first half of 2026, a 90% increase relative to H1 2025 and the strongest start to a year since 2021.

Exhibit 10: Largest difference in industry weight between the Russell 2000 and the S&P 500



Source: FactSet, Goldman Sachs Global Investment Research

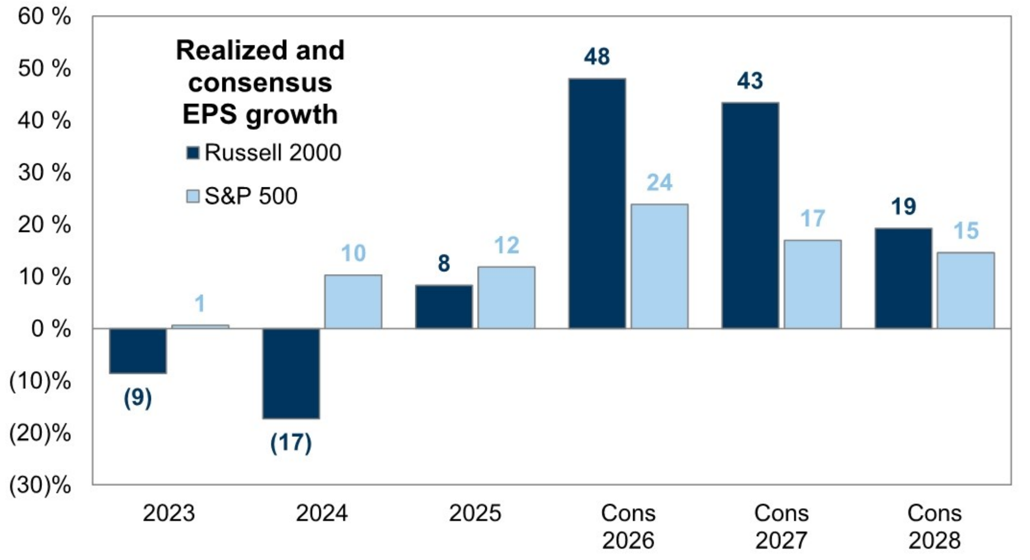
Exhibit 11: Announced US Healthcare M&A was up 90% y/y in H1 2026



Source: Dealogic, Goldman Sachs Global Investment Research

From a fundamental perspective, consensus estimates show the Russell 2000 generating 2x the EPS growth of the S&P 500 this year (48% vs. 24%). If realized, this would be the strongest year of small-cap EPS growth since the COVID recovery in 2021, when index EPS growth exceeded 100%, and prior to that the earnings rebound in 2009.

Exhibit 12: Consensus estimates show the Russell 2000 growing EPS at 2x the rate of the S&P 500 this year and next



Source: FactSet, Goldman Sachs Global Investment Research

However, Russell 2000 EPS estimates have recently been falling, in contrast with upward revisions for the S&P 500. YTD, analysts have lifted 2026 EPS estimates for the S&P 500 by 9% while cutting Russell 2000 estimates by 9%. As a result, while the entire S&P 500 YTD return has been driven by near-term earnings, the Russell 2000 YTD return can be attributed in roughly equal parts to growing earnings and rising valuations.

Exhibit 13: Unlike the S&P 500, valuations and earnings have both contributed to the Russell 2000 YTD return

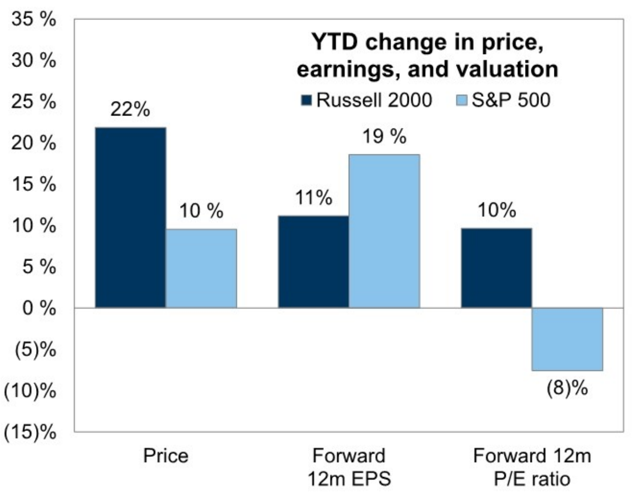
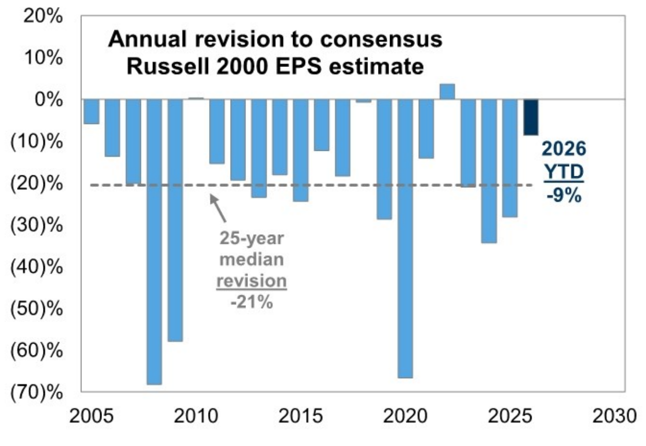


Exhibit 14: Russell 2000 EPS estimates for 2026 have declined by 9% YTD



Source: FactSet, Goldman Sachs Global Investment Research

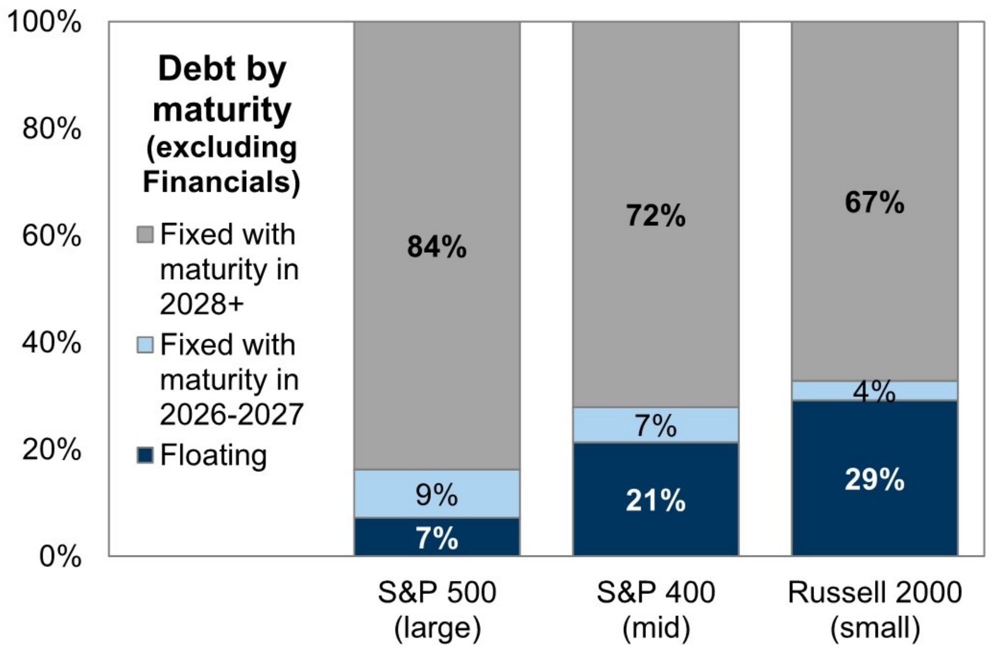
While analyst estimates point to strong EPS growth, roughly a quarter of the Russell 2000 is unprofitable. Unprofitable stocks represent 29% of Russell 2000 constituents and 23% of market cap. This unprofitable share has trended higher during the past 20 years and increased slightly following last week's rebalance.

Exhibit 15: Roughly a quarter of the Russell 2000 is unprofitable

Source: FactSet, Compustat, Goldman Sachs Global Investment Research

A Fed tightening cycle would pose a bigger risk to small-caps than large-caps. While our economists believe that the Fed will most likely remain on hold for the next few quarters, the market is pricing roughly 35 bp of Fed tightening through year-end. About 30% of Russell 2000 debt is floating rate, compared with 7% for the S&P 500.

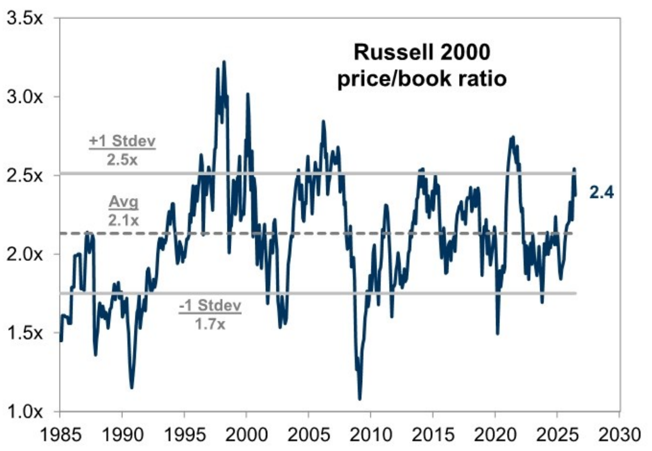
Exhibit 16: Russell 2000 stocks have a higher share of floating rate debt than large-caps



Source: Bloomberg, Goldman Sachs Global Investment Research

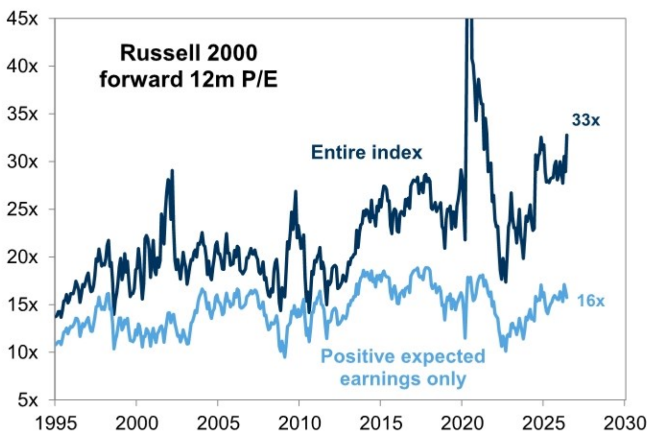
Russell 2000 valuations remain below prior extremes but are less attractive than they were at the start of 2026. Unlike for large-caps, small-cap valuations - and specifically price/book multiples - have historically been a useful indicator for near-term forward returns. Today, the Russell 2000 trades at P/B ratio of 2.4x. This falls below the 2.6x ratio it carried prior to the recent rebalance but above both the long-term average of 2.1x and the 2.2x multiple it carried at the start of 2026.

Exhibit 17: Russell 2000 P/B valuation ranks in the 76th percentile since 1985



Source: FactSet, Compustat, Goldman Sachs Global Investment Research

Exhibit 18: Russell 2000 P/E valuation with and without negative earners



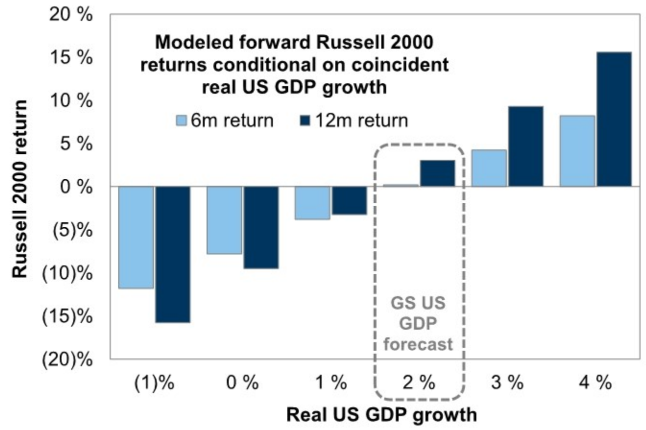
Source: FactSet, Compustat, Goldman Sachs Global Investment Research

Given elevated valuations, our economists' forecast for real US GDP growth of roughly 2% in coming quarters would signal a low single-digit Russell 2000 return during the next 12 months. The major upside risk to this modeled return would be stronger economic growth than they forecast or continued upside surprises to the AI infrastructure boom. The largest downside risks are that those growth tailwinds disappoint or that the Fed tightens more than the market is currently pricing.

Exhibit 19: Macro model points to modest Russell 2000 return in next 12 months

Source: Goldman Sachs Global Investment Research

Exhibit 20: Modeled Russell 2000 return based on US economic outlook

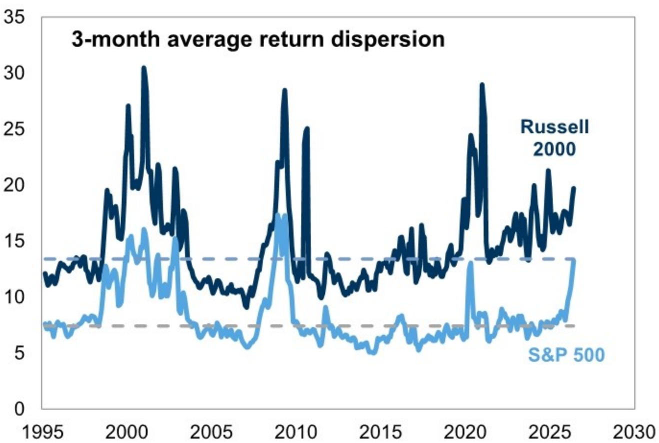


Source: Goldman Sachs Global Investment Research

Within the equity market, return dispersion has recently soared, with a particularly wide opportunity set for alpha generation within the small-cap universe. During the last few months, return dispersion within the Russell 2000 and S&P 500 have each surged to some of their highest levels in recent decades outside of recessions. Russell 2000 dispersion has averaged roughly 2x the level of S&P 500 dispersion during the past 30 years, and today dispersion registers higher in every sector for small-caps relative to large-caps.

Exhibit 21: Return dispersion is elevated across the US equity market

Dispersion calculated as the cross-sectional standard deviation of constituent monthly returns



Source: Goldman Sachs Global Investment Research

Exhibit 22: Small-cap vs. large-cap return dispersion by sector

Return dispersion

(std dev of constituent monthly returns, 3-month average)

	Russell 2000	S&P 500	Difference
Index	**20pp**	**13pp**	**6pp**
Comm Services	24	9	**15**
Health Care	23	12	**12**
Industrials	20	9	**11**
Consumer Staples	16	7	**9**
Materials	17	10	**7**
Energy	13	6	**7**
Consumer Discr	15	10	**5**
Info Tech	29	23	**5**
Utilities	9	4	**5**
Financials	9	8	**1**

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

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